the Magic Formula has outperformed. But what drives the returns to the Magic Formula? Is it really mimicking Buffett's *wonderful companies at fair prices* strategy, finding first-class businesses with first-class managements, or is something else at work? Eager to know, we devolved the Magic Formula into its constituent parts—*return on capital* and *earnings yield*—and tested each independently over the full data period. The results were, to say the least, a little surprising.

In the United States over the period 1974 to 2011, the Magic Formula generated a compound annual growth rate of 13.94 percent, beating the market's annual average of 10.46 percent.[15] The *earnings yield* alone, however, earned 15.95 percent annually, while the *return on capital* measure earned just 10.37 percent annually. You read that right. The *earnings yield* alone beat out the Magic Formula, and the *return on capital* measure underperformed the market, dragging down the return to the Magic Formula with it. Figure 4.2 shows a logarithmic chart of the performance of the market-weighted Magic Formula, the earnings yield alone, the return on capital measure alone, and the S&P 500 Total Return Index.

Perhaps *return on capital* contributed something else to the Magic Formula, lowering its risk or improving its consistency? Table 4.1 shows the results. The standard deviation of returns to the Magic Formula over the full period was 16.93 percent, against 17.28 percent for the *earnings yield*, and

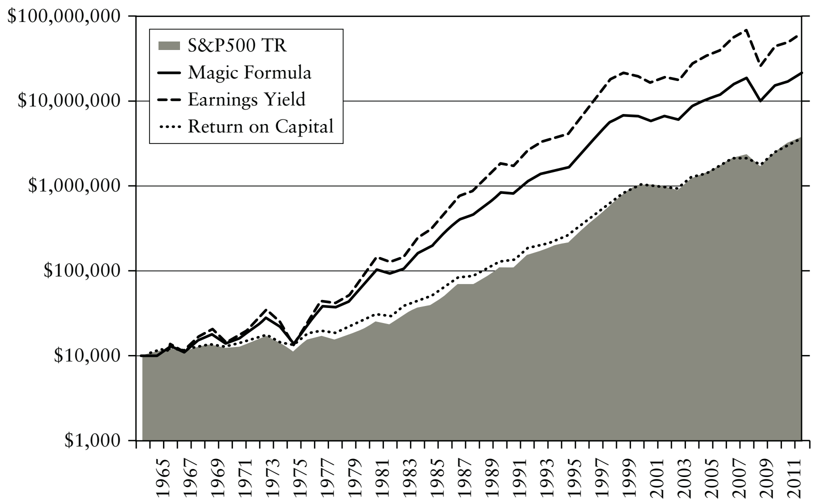

FIGURE 4.2 Logarithmic Chart of Magic Formula (Market Weight), Earnings Yield, Return on Capital, and S&P 500 (Total Return) Performance (1974 to 2011)
Source: Eyquem Investment Management LLC.